

BECM 3107

# CONTRACT ADMINISTRATION

## Term Final Exam Study Guide

সহজ ব্যাখ্যা • বাংলা অর্থ • Memorizing Techniques  
LOA/LOI • Variations • Notices • EOT Claims • FIDIC 20.1

Based on the supplied lecture slides

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Prepared for focused term-final revision

# How to Use This Guide

*Understand first, then memorize the codes, then practise writing without looking.*

## 3-Step Study Method — বুঝে পড়ুন, কোড মনে রাখুন, লিখে যাচাই করুন

- Step 1 — Understand: প্রতিটি rule-এর “why” এবং practical effect বুঝুন।
- Step 2 — Recall: mnemonic/code দেখে বই বন্ধ করে points বলুন।
- Step 3 — Write: DREC formula দিয়ে 5-10 মিনিটে উত্তর লিখুন।

## Course Map — এই lecture-এর মূল বিষয়

| No. | Topic                          | Exam Focus                                              |
|-----|--------------------------------|---------------------------------------------------------|
| 1   | LOA / Letter of Acceptance     | Award-এর পর binding contract ও important terms          |
| 2   | LOI                            | Future contract করার intention                          |
| 3   | Construction Method / Sequence | Tender-time method বদলালে variation হতে পারে            |
| 4   | Instructions & Authority       | Architect/Engineer-এর মাধ্যমে obligations change        |
| 5   | Variation Claim                | Written order না থাকলেও কিছু exception-এ payment        |
| 6   | Notice Provisions              | No notice, no claim; clause/facts/dates/reasons/effects |
| 7   | EOT & Money Claims             | Time claim (EOT) এবং money claim (VO)                   |
| 8   | FIDIC Sub-Clause 20.1          | 28-day notice, records, 42-day details and response     |
| 9   | Record Keeping                 | Records + Records + More records                        |

## DREC

### Definition → Rules → Example → Conclusion

সংজ্ঞা → নিয়ম/পয়েন্ট → উদাহরণ → উপসংহার

Exam tip: কোনো long question-এ প্রথমে ১-২ লাইনের definition, তারপর numbered rules, একটি construction example এবং শেষ লাইনে conclusion লিখবেন।

# 1. Letter of Award (LOA) and Letter of Intent (LOI)

দুইটি letter দেখতে similar হলেও তাদের legal purpose আলাদা।

## Letter of Award / Letter of Acceptance (LOA)

According to the lecture, a Letter of Award becomes a binding contract when it is issued to the contractor.

- Proper contract documents should be executed as soon as possible because a short LOA cannot contain every detail of a standard construction contract.

### Easy meaning — সহজ ভাষায়

- Employer tender accept করে contractor-কে LOA দিলে award finalised হয়।
- LOA ছোট document; তাই full contract দ্রুত sign করা dispute কমায়।

## Typical Contents of LOA

| LOA Item                                    | Bangla Meaning                |
|---------------------------------------------|-------------------------------|
| Price                                       | চুক্তিমূল্য                   |
| Scope of works                              | কাজের পরিধি                   |
| Terms of payment                            | পরিশোধের শর্ত                 |
| Performance bond / preliminary requirements | প্রাথমিক contract requirement |
| Programme / scheduling                      | কাজের সময়সূচি                |
| Possession date                             | Site হস্তান্তরের তারিখ        |
| Contract period                             | চুক্তির সময়কাল               |

**P-S-P-B-  
P-D-C**

**Price - Scope - Payment - Bond - Programme - Date - Contract period**

"Price, Scope, Payment; Bond, Programme, Date, Contract"

## Letter of Intent (LOI)

LOI merely communicates the issuer's intention to enter into a contract at a future date. It is not presented in the lecture as the completed award itself.

- A main contractor may issue an LOI to a subcontractor when present work has started but the full subcontract agreement is expected to be executed in the near future.

| Point           | LOA                            | LOI                                           |
|-----------------|--------------------------------|-----------------------------------------------|
| Core purpose    | Award/acceptance of tender     | Future contract করার intention                |
| Lecture framing | Binding contract once issued   | Only intention; full agreement later          |
| Main concern    | Important terms must be stated | Scope of permitted early work should be clear |
| Memory cue      | A = Award                      | I = Intention                                 |

## 2. Construction Method, Sequence and Variation

Tender-এর সময় *assumed method* বদলে দিলে *cost/time effect* সৃষ্টি হতে পারে।

### Core Rule

- Contractor যদি tender-এর সময় যে construction method/sequence ধরে price ও programme তৈরি করেছিল, পরে তাকে ভিন্ন method ব্যবহার করতে বলা হয়, তাহলে change-টি variation হিসেবে treat করার entitlement হতে পারে।

### Why can it become a variation?

- Different method may change labour, plant, material, temporary works, productivity and duration.
- The contractor's tender price and programme may have been based on the original assumed method.
- Therefore, a directed method change can affect both money and time.

### M-E-T

**Method changed → Effect shown → Treat as variation**

Method বদল → cost/time effect → variation claim

### Simple construction example

#### Example: Excavation Method

- Tender basis: open excavation using normal dewatering.
- Later instruction: use sheet piling and staged excavation.
- Possible effect: extra plant, labour, temporary works and delay.
- Claim approach: identify instruction, prove difference, record effect, notify and quantify.

### Exam answer skeleton

| 1. Rule           | 2. Change        | 3. Effect        | 4. Result             |
|-------------------|------------------|------------------|-----------------------|
| Tender assumption | Different method | Time/cost impact | Variation entitlement |

Use this four-part flow for "Change of construction method as variation".

Necessary words: method = পদ্ধতি; sequence = কাজের ক্রম; variation = পরিবর্তিত কাজ; entitlement = আইনগত/চুক্তিগত প্রাপ্যতা; tender assumption = দরপত্রের সময়কার অনুমান।

### 3. Instructions, Objectives and Authority

*Contractual obligations change করার power contract-এর নির্ধারিত channel দিয়ে exercise করতে হয়।*

#### Objectives and Obligations

In the absence of a contractual provision allowing the change, any unilateral variation of either party's contractual obligation may amount to a breach of contract.

##### Easy Rule

- Contract-এ variation clause থাকলে authorised change করা যায়।
- Variation power না থাকলে obligation বদলানো সাধারণত breach হিসেবে দেখা হবে।

#### Extent of Architect / Engineer's Authority

- Under standard forms, the Employer normally changes the Contractor's obligations through the Architect, Superintendent, Engineer or Supervising Officer.
- The Contractor is generally not obliged to accept direct instructions from the Employer, except where the applicable governmental form expressly retains direct communication, for example for national-security reasons.
- The Architect uses the contractual powers as the Employer's agent, and the lecture describes the exercise of those powers as discretionary.

##### E-A-C

**Employer → Authorised contract administrator → Contractor**

Employer সরাসরি নয়; authorised channel-এর মাধ্যমে instruction

| Person                                | Main role in the lecture                                         | Bangla cue                     |
|---------------------------------------|------------------------------------------------------------------|--------------------------------|
| Employer                              | Has the contractual right to initiate authorised changes         | পরিবর্তনের অধিকারী             |
| Architect / Engineer / Superintendent | Issues or administers instructions under the contract            | নির্দেশের authorised channel   |
| Contractor                            | Complies with valid contractual instructions and records effects | বৈধ নির্দেশ মানে ও record রাখে |

##### Exam warning

- Instruction কে দিয়েছে?
- Contract অনুযায়ী সে authorised ছিল কি?
- Instruction লিখিত কি?
- Time এবং money effect notice করা হয়েছে কি?

## 4. Variation Claim without a Written Order

*Written order condition precedent* হলো ও *lecture*-এ কিছু *recovery situations* দেওয়া হয়েছে।

Normally, a written variation order may be a condition precedent to additional payment. However, the lecture identifies five situations where recovery may still be possible without such an order.

| Code                  | Situation                                                  | Bangla Meaning                         |
|-----------------------|------------------------------------------------------------|----------------------------------------|
| O — Outside scope     | Additional work is outside the scope of the contract       | চুক্তির scope-এর বাইরে কাজ             |
| W — Waived            | Condition precedent has been expressly waived              | শর্ত স্পষ্টভাবে waive করা হয়েছে       |
| I — Interference      | Employer interfered with issuing the written order         | Employer লিখিত order দিতে বাধা দিয়েছে |
| F — Final certificate | Final and conclusive certificate includes the claimed work | Final certificate-এ কাজ অন্তর্ভুক্ত    |
| W — Withheld          | Written order was improperly withheld                      | Order অনুচিতভাবে আটকে রাখা হয়েছে      |

### OWIFW

**Outside - Waived - Interference - Final certificate - Withheld**

"Outside কাজ, Waive, Interference, Final certificate, Withheld order"

### How to analyse a problem question

| Authority       | Writing            | Exception         | Proof           |
|-----------------|--------------------|-------------------|-----------------|
| Who instructed? | Was order written? | Does OWIFW apply? | Records + value |

Variation problem: write the analysis in this order.

#### Mini Example

- Engineer orally directs extra drainage outside the original scope.
- Contractor performs it and keeps daily records, photos and cost sheets.
- No written VO is issued despite repeated requests.
- Possible arguments: outside scope and/or improperly withheld written order.

Important: The exceptions do not remove the need for proof. The contractor still needs evidence of instruction, performance, causation and valuation.

## 5. Notice Provisions — “No Notice, No Claim”

*Notice clause follow না করলে time and money claim fail করতে পারে।*

### Main Rules from the Lecture

- Know the contract notice provisions and follow them strictly; otherwise a claim may fail.
- Some notice clauses are conditions precedent to recovery of time and money, including examples cited in the lecture: NEC3 clause 61.3 and FIDIC Red Book Sub-Clause 20.1.
- Notices should be written, simple and non-emotive.
- Continuing events require ongoing notices, such as monthly reports.

**C-F-D-R-  
E**

**Clause - Facts - Dates - Reasons - Effects**

Relevant clause, কী ঘটেছে, কবে, কেন claim, time/cost effect

### Good Notice Formula

| Part    | What to write              | Example phrase                                    |
|---------|----------------------------|---------------------------------------------------|
| Clause  | Relevant contract clause   | “Pursuant to Sub-Clause 20.1...”                  |
| Facts   | Event/circumstance         | “Access to Area B was not provided...”            |
| Dates   | Awareness and event dates  | “The event commenced on...”                       |
| Reasons | Why entitlement may arise  | “This affects the planned sequence...”            |
| Effects | Expected time/money effect | “Delay and additional cost are being recorded...” |

#### Tone Checklist

- Written — লিখিত
- Simple — সহজ ও পরিষ্কার
- Non-emotive — অভিযোগমূলক/রাগান্বিত ভাষা নয়
- Specific — clause, event, date and effect উল্লেখ
- Ongoing — continuing event হলে periodic update

#### One-line memory rule

- You snooze, you lose: no notice, no claim.

## 6. Procedure for Claim: Time (EOT) and Money (VO)

একটি *event* থেকে *time claim*, *money claim*, অথবা দুটোই হতে পারে।

| CLAIM<br>CLAIM                                |                                             |
|-----------------------------------------------|---------------------------------------------|
| <b>TIME</b><br><b>EOT — Extension of Time</b> | <b>MONEY</b><br><b>VO — Variation Order</b> |

| Issue               | EOT Claim                          | Money / VO Claim                             |
|---------------------|------------------------------------|----------------------------------------------|
| Purpose             | Completion date extend করা         | Additional payment recover করা               |
| Proof focus         | Critical delay and event effect    | Extra work/cost and valuation                |
| Common documents    | Programme, updates, delay analysis | Instruction, measurement, rate, cost records |
| Can arise together? | Yes — same event may cause both    | Yes — same event may cause both              |

### Basic Claim Chain

| Event<br>What happened? | Entitlement<br>Which clause? | Causation<br>How did it affect? | Quantum<br>How much time/money? |
|-------------------------|------------------------------|---------------------------------|---------------------------------|
|-------------------------|------------------------------|---------------------------------|---------------------------------|

Every claim should show this chain.

|                |                                                                                                      |
|----------------|------------------------------------------------------------------------------------------------------|
| <b>E-E-C-Q</b> | <b>Event - Entitlement - Causation - Quantum</b><br>ঘটনা → clause/right → effect → time/money amount |
|----------------|------------------------------------------------------------------------------------------------------|

#### Common mistake

- Only saying “we were delayed” is not enough.
- A proper claim connects the event to the contractual right, proves cause and effect, and quantifies the result.



## 7. FIDIC Sub-Clause 20.1 — Master Timeline

The lecture calls the first notice the “Foot in the Door Notice”.

| 28 DAYS                                                                        | RECORDS                                                                              | 42 DAYS                                                                              | MONTHLY                                                        | 28 DAYS                                                         | 42 DAYS                                                            |
|--------------------------------------------------------------------------------|--------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------|----------------------------------------------------------------|-----------------------------------------------------------------|--------------------------------------------------------------------|
| <b>Initial notice</b><br>Notice to Engineer after awareness / deemed awareness | <b>Contemporaneous evidence</b><br>Keep site and other records; Engineer may inspect | <b>Fully detailed claim</b><br>Basis, EOT and/or additional payment with particulars | <b>Continuing event</b><br>Interim claims at monthly intervals | <b>Final claim</b><br>After effects of the continuing event end | <b>Engineer response</b><br>Approval/disapproval and determination |

|                      |                                                                                                                                                                       |
|----------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>28-42-M-28-42</b> | <b>Notice 28 → Detailed claim 42 → Monthly updates → Final 28 → Engineer 42</b><br>First 28 days; full details 42 days; monthly; event end-এর 28 দিন; response 42 দিন |
|----------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------|

### Consequence of Missing the First 28-Day Notice

#### Time Bar in the Lecture

- Time for Completion will not be extended.
- Contractor will not be entitled to additional payment.
- Employer is discharged from liability connected with the claim.

### What triggers the clock?

The date when the Contractor became aware, or should have become aware, of the event or circumstance giving rise to the claim.

Exam technique: Draw the timeline first. Then explain each stage in one or two sentences. This makes a long answer easy to remember and easy to mark.

## 8. Supporting Particulars, Records and Engineer's Role

*A notice opens the door; records and particulars prove the claim.*

### Contractor's Duties after Notice

- Submit any other notices required by the Contract.
- Provide supporting particulars relevant to the event or circumstance.
- Keep contemporaneous records at Site or another location acceptable to the Engineer.
- Allow the Engineer to inspect the records and submit copies if instructed.

#### N-P-R-I

#### Notices - Particulars - Records - Inspection

Additional notices, supporting details, records, Engineer inspection

### Engineer's Powers / Actions

- After receiving notice, the Engineer may monitor record keeping and instruct the Contractor to keep further contemporaneous records.
- Within 42 days after receiving the claim or further particulars, the Engineer should respond with approval or disapproval and detailed comments.
- The Engineer may request further particulars but should still respond on the principles of the claim within the stated period.
- Under the lecture's reference to FIDIC Sub-Clause 3.5, the Engineer agrees or determines the EOT under Sub-Clause 8.4 and/or additional payment.

| Contractor                    | Engineer                         |
|-------------------------------|----------------------------------|
| Give timely notice            | Receive and review notice        |
| Keep contemporaneous records  | Monitor / inspect records        |
| Submit full particulars       | Request further particulars      |
| Show EOT and/or payment basis | Approve/disapprove and determine |

#### If the Engineer does not respond

- The slide states that either Party may treat the claim as rejected and refer it to the Dispute Board under Sub-Clause 20.4.

## 9. Detailed EOT Claim Procedure — Step by Step

Use this table as the core answer for a long question on FIDIC Sub-Clause 20.1.

| Step | Action                      | What to Write in Exam                                                                               |
|------|-----------------------------|-----------------------------------------------------------------------------------------------------|
| 1    | Identify event              | Record the event/circumstance and awareness date.                                                   |
| 2    | Initial notice — 28 days    | Give notice to the Engineer as soon as practicable and no later than 28 days.                       |
| 3    | Keep records                | Maintain contemporaneous site, programme, labour, plant, cost and correspondence records.           |
| 4    | Supporting particulars      | Provide notices and details relevant to the claim.                                                  |
| 5    | Detailed claim — 42 days    | Submit the basis of claim, EOT and/or additional payment with full particulars.                     |
| 6    | Continuing event            | Treat detailed claim as interim; send monthly updates of accumulated delay/amount.                  |
| 7    | Final claim — 28 days       | Submit final claim within 28 days after the event's effects end, unless another period is approved. |
| 8    | Engineer response — 42 days | Engineer responds with approval/disapproval and detailed comments.                                  |
| 9    | Determination               | Engineer agrees or determines EOT and/or additional payment.                                        |
| 10   | Payment / dispute route     | Substantiated amount enters payment certificate; unresolved matter may proceed to Dispute Board.    |

### Important limitation

- Until the particulars are sufficient to substantiate the whole claim, payment is limited to the part that has been substantiated.
- A failure that prevents or prejudices proper investigation may reduce the EOT or payment, unless the claim is already excluded by the 28-day time bar.

**N-R-D-U-  
F-R**

### Notice - Records - Details - Updates - Final - Response

Notice, records, detailed claim, monthly updates, final claim, Engineer response

## 10. Record Keeping and Evidence

*The lecture's strongest practical message: Records, Records, More Records.*

### 3R Rule

- Records
- Records
- More records

Without evidence, an argument can fail even when the contract appears to support it. Records help both to produce a claim and to defend against a claim.

### Recommended Claim Records — evidence checklist

| Record Group       | Examples                                                   |
|--------------------|------------------------------------------------------------|
| Contract documents | LOA, conditions, drawings, specifications, BOQ             |
| Instructions       | Written instructions, VO requests, emails, meeting minutes |
| Notice records     | Initial notice, acknowledgements, continuing notices       |
| Programme records  | Baseline, updates, look-ahead schedules, progress reports  |
| Site records       | Daily reports, labour, plant, weather, access, photographs |
| Cost records       | Invoices, timesheets, material and equipment costs         |
| Measurement        | Quantity sheets, sketches, survey records                  |
| Correspondence     | Letters, emails, RFIs and responses                        |
| Causation evidence | Before/after sequence and specific effect                  |
| Quantum evidence   | Calculation of days and/or money claimed                   |

### D-I-N-P-S-C-M-C

**Documents - Instructions - Notices - Programme - Site - Cost - Measurement - Correspondence**

Claim file-এর core record groups

### Daily Claim Discipline

| Daily       | Weekly           | Monthly       | Final             |
|-------------|------------------|---------------|-------------------|
| Site report | Programme review | Interim claim | Consolidated file |

**Keep records as the event happens — not after the dispute begins.**

### Source note

- The lecture also refers students to the Standard Tender Document PW3, but the supplied slide does not provide further PW3 clause details in this section.

## 11. Important Vocabulary with Bangla Meanings

Use the English legal/contract term in the exam and add a short Bangla meaning while studying.

| English                          | বাংলা অর্থ                               | English                  | বাংলা অর্থ                             |
|----------------------------------|------------------------------------------|--------------------------|----------------------------------------|
| Contract administration          | চুক্তি পরিচালনা ও বাস্তবায়ন ব্যবস্থাপনা | Letter of Award (LOA)    | কাজ প্রদানের/গ্রহণের পত্র              |
| Letter of Intent (LOI)           | ভবিষ্যতে চুক্তির ইচ্ছাপত্র               | Binding contract         | আইনগতভাবে বাধ্যতামূলক চুক্তি           |
| Scope of works                   | কাজের পরিধি                              | Terms of payment         | পরিশোধের শর্ত                          |
| Performance bond                 | কাজ সম্পাদনের নিশ্চয়তা জামানত           | Programme / scheduling   | কাজের সময়সূচি                         |
| Possession of site               | Site হস্তান্তর/দখল প্রদান                | Contract period          | চুক্তির সময়কাল                        |
| Construction method              | নির্মাণ পদ্ধতি                           | Sequence                 | কাজের ক্রম                             |
| Variation                        | চুক্তিকৃত কাজে অনুমোদিত পরিবর্তন         | Variation Order (VO)     | পরিবর্তিত কাজের আনুষ্ঠানিক আদেশ        |
| Obligation                       | চুক্তিগত দায়িত্ব                        | Breach of contract       | চুক্তিভঙ্গ                             |
| Authority                        | কর্তৃত্ব                                 | Agent of the Employer    | Employer-এর প্রতিনিধি                  |
| Discretionary                    | বিবেচনাধীন ক্ষমতা                        | Condition precedent      | আগে পূরণ করতে হবে এমন বাধ্যতামূলক শর্ত |
| Waiver / waived                  | শর্তের অধিকার পরিত্যাগ                   | Interference             | হস্তক্ষেপ                              |
| Final and conclusive certificate | চূড়ান্ত ও নিষ্পত্তিমূলক certificate     | Withheld                 | আটকে রাখা                              |
| Notice provision                 | নোটিশ দেওয়ার চুক্তিগত বিধান             | Non-emotive              | আবেগ/রাগবিহীন ভাষা                     |
| Entitlement                      | চুক্তিগত প্রাপ্যতা/অধিকার                | Extension of Time (EOT)  | কাজ শেষের সময় বৃদ্ধি                  |
| Additional payment               | অতিরিক্ত অর্থপ্রদান                      | Event or circumstance    | ঘটনা বা পরিস্থিতি                      |
| Contemporaneous records          | ঘটনার সময়েই তৈরি record                 | Supporting particulars   | সমর্থনকারী বিস্তারিত তথ্য              |
| Substantiate                     | প্রমাণ দ্বারা সমর্থন করা                 | Engineer's determination | Engineer-এর চুক্তিগত সিদ্ধান্ত         |
| Payment certificate              | পরিশোধের certificate                     | Time bar                 | সময়সীমা অতিক্রমে claim হারানোর বাধা   |
| Causation                        | ঘটনা ও ক্ষতির কারণগত সম্পর্ক             | Quantum                  | কত সময়/কত টাকা claim করা হচ্ছে        |
| Dispute Board                    | বিবাদ নিষ্পত্তি বোর্ড                    | Records                  | দলিল/প্রমাণভিত্তিক নথি                 |

## 12. Probable Exam Questions and Answer Plans

*Questions are framed directly from the supplied lecture topics.*

### Long / Descriptive Questions

**1. Explain LOA and distinguish it from LOI.**

**Answer plan:** Definition → LOA binding → LOA contents → LOI intention → comparison.

**2. Discuss typical contents of a Letter of Award.**

**Answer plan:** Use P-S-P-B-P-D-C and explain each item.

**3. When can a change in construction method be treated as variation?**

**Answer plan:** Tender assumption → directed change → cost/time effect → entitlement.

**4. Explain the Architect/Engineer's authority in changing obligations.**

**Answer plan:** Variation power → authorised channel → direct employer instruction → discretion.

**5. Explain situations where a variation claim may be recovered without written order.**

**Answer plan:** Condition precedent → OWIFW exceptions → proof requirement.

**6. Explain notice provisions and the contents of a good notice.**

**Answer plan:** Strict compliance → condition precedent → C-F-D-R-E → ongoing notices.

**7. Describe the procedure for an EOT claim under FIDIC Sub-Clause 20.1.**

**Answer plan:** 28-42-M-28-42 timeline + records + Engineer determination.

**8. Discuss the importance of record keeping and evidence in claims.**

**Answer plan:** 3R rule → categories of records → causation and quantum.

**9. Distinguish EOT claim and Variation Order claim.**

**Answer plan:** Time vs money, evidence, may arise from same event.

**10. Explain the Engineer's response and determination under the FIDIC claim procedure.**

**Answer plan:** 42-day response → comments → Sub-Clause 3.5 → EOT/payment.

### Short Questions / Viva

1. What is a binding LOA?

7. What does "no notice, no claim" mean?

2. Why should full contract documents be executed quickly?

8. What is EOT?

3. What does LOI communicate?

9. What is VO?

4. What is a variation?

10. What are contemporaneous records?

5. Who normally issues contractual instructions?

11. State the 28-day rule.

6. What is condition precedent?

12. State the 42-day rule.

## 13. Model Short Answers

*Use these as patterns; expand them with rules and examples for long answers.*

### A. Distinguish LOA and LOI

A Letter of Award or Letter of Acceptance is treated in the lecture as a binding contract once issued to the contractor. It should state important terms such as price, scope, payment, performance bond, programme, site-possession date and contract period. A Letter of Intent, however, merely states an intention to enter into a contract in the future. Therefore, LOA represents award/acceptance, while LOI represents future intention.

### B. Explain Notice Provisions

Notice provisions require a party to communicate a claim within the contractually stated time and form. Some are conditions precedent to recovery of time and money. A good notice should be written, simple and non-emotive, and should identify the clause, facts, dates, reasons and effects. Continuing events require continuing notices. Failure to comply may result in “no notice, no claim.”

### C. Situations for Variation Claim without Written Order

Although a written variation order may be a condition precedent to additional payment, recovery may still be possible where the work is outside the contract scope, the condition has been expressly waived, the Employer interfered with issuing the order, a final and conclusive certificate includes the work, or the written order was improperly withheld. The contractor must still prove instruction, performance and value.

### D. FIDIC 20.1 Claim Procedure — 8 lines

- 1. Identify the event and awareness date.
- 2. Notify the Engineer as soon as practicable and within 28 days.
- 3. Keep contemporaneous records and supporting particulars.
- 4. Submit a fully detailed claim within 42 days.
- 5. For a continuing event, submit monthly interim claims.
- 6. Submit the final claim within 28 days after the effects end.
- 7. Engineer responds within 42 days and determines EOT/payment.
- 8. Unresolved claims may proceed to the Dispute Board.

#### Best answer formula

- Definition — 2 marks
- Rules / timeline — 5-8 marks
- Construction example — 2 marks
- Conclusion / consequence — 1 mark

## 14. MCQ Practice

*Try without looking at the answers. Mark weak topics for revision.*

- 1. According to the lecture, LOA becomes binding when it is —**  
A. Drafted B. Issued to the contractor C. Discussed D. Advertised
- 2. Which is NOT a typical LOA content?**  
A. Price B. Scope C. Programme D. Arbitrator's award
- 3. LOI mainly communicates —**  
A. Final award B. Future intention C. Final certificate D. Payment certificate
- 4. A directed change in construction method may be treated as —**  
A. Tender B. Variation C. Arbitration D. Warranty
- 5. Without a variation power, changing obligations may amount to —**  
A. Waiver B. Breach C. EOT D. Certificate
- 6. Employer normally changes contractor obligations through —**  
A. Any worker B. Architect/Engineer C. Supplier D. Arbitrator
- 7. OWIFW is used to remember —**  
A. LOA contents B. Written-order exceptions C. Notice contents D. Records
- 8. A good notice should be —**  
A. Emotional B. Oral only C. Written and non-emotive D. Anonymous
- 9. C-F-D-R-E starts with —**  
A. Cost B. Clause C. Contractor D. Certificate
- 10. EOT is mainly a claim for —**  
A. Time B. Money only C. Quality D. Insurance
- 11. The first FIDIC 20.1 notice period in the lecture is —**  
A. 7 days B. 14 days C. 28 days D. 42 days
- 12. The fully detailed claim is generally due within —**  
A. 21 days B. 28 days C. 35 days D. 42 days
- 13. Continuing events require interim claims at —**  
A. Monthly intervals B. Five-year intervals C. Completion only D. No intervals
- 14. Final claim after a continuing event is generally due within —**  
A. 7 days B. 14 days C. 28 days D. 42 days
- 15. Engineer's response period shown in the lecture is —**  
A. 14 days B. 21 days C. 28 days D. 42 days
- 16. Contemporaneous records are records created —**  
A. Long after dispute B. During the event C. Only in court D. Before tender only
- 17. "Records, Records, More Records" relates to —**  
A. Evidence B. LOI C. Award D. Performance bond
- 18. If the Engineer fails to respond, the slide allows reference to —**  
A. Supplier B. Dispute Board C. Tax office D. Architect only

### Answer Key

**1-B 2-D 3-B 4-B 5-B 6-B 7-B 8-C 9-B 10-A 11-C 12-D 13-A 14-C 15-D 16-B 17-A 18-B**



# 15. Last-Minute Master Revision Sheet

Read this page before entering the exam hall.

| Topic                   | One-Line Rule                                                               |
|-------------------------|-----------------------------------------------------------------------------|
| LOA                     | Binding award once issued; important terms: P-S-P-B-P-D-C.                  |
| LOI                     | Only intention to enter contract in future.                                 |
| Method change           | Different tender-assumed method → prove effect → variation may arise.       |
| Authority               | Employer changes obligations through authorised Architect/Engineer channel. |
| Without variation power | Unilateral obligation change may be breach.                                 |
| No written VO           | Remember OWIFW exceptions.                                                  |
| Notice                  | Written, simple, non-emotive; C-F-D-R-E.                                    |
| Claim types             | Time = EOT; Money = VO; one event may produce both.                         |
| FIDIC 20.1              | 28-42-M-28-42.                                                              |
| Proof                   | Event + Entitlement + Causation + Quantum.                                  |
| Records                 | Records + Records + More Records.                                           |
| Clauses referenced      | FIDIC 3.5, 8.4, 20.1; Dispute Board 20.4.                                   |

## Master Mnemonics

| Code          | Meaning                        |
|---------------|--------------------------------|
| P-S-P-B-P-D-C | LOA contents                   |
| M-E-T         | Method change analysis         |
| E-A-C         | Instruction channel            |
| OWIFW         | Written-order exceptions       |
| C-F-D-R-E     | Notice content                 |
| E-E-C-Q       | Claim logic                    |
| 28-42-M-28-42 | FIDIC timeline                 |
| N-P-R-I       | Particulars and records        |
| 3R            | Records, Records, More Records |

### Final 10-Minute Recall

- Write all mnemonic codes from memory.
- Draw the FIDIC timeline.
- Write LOA vs LOI in four differences.
- List OWIFW and C-F-D-R-E.
- Explain why records prove causation and quantum.

**Understand the rule → Recall the code → Write the answer.**